

Template pre-contractual disclosure for the financial products referred to in Article 8, paragraphs 1, 2 and 2a, of Regulation (EU) 2019/2088 and Article 6, first paragraph, of Regulation (EU) 2020/852

Product Name: Prime Alternative Finance

Legal entity identifier: None

Environmental and/or social characteristics

Does this financial product have a sustainable investment objective?



Yes



No



It will make a minimum of sustainable investments with an environmental objective: ____%



It promotes Environmental/Social (E/S) characteristics and while it does not have as its objective a sustainable investment, it will have a minimum proportion of ____% of sustainable investments



in economic activities that qualify as environmentally sustainable under the EU Taxonomy



with an environmental objective in economic activities that qualify as environmentally sustainable under the EU Taxonomy



in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy



with an environmental objective in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy



with a social objective



It will make a minimum of sustainable investments with a social objective: ____%



It promotes E/S characteristics, but will not make any sustainable investments



What environmental and/or social characteristics are promoted by this financial product?

This has been the first reporting period promoting this financial product. The main environmental characteristics were gas and electricity generated by the underlying projects through the Anaerobic digestion of bio-waste.



What sustainability indicators are used to measure the attainment of each of the environmental or social characteristics promoted by this financial product?

The fund does not have established sustainability indicators, given that 100% of fund allocation is to project Finance loans with environmental characteristics in promoting United Kingdom renewable energy through 1 existing Finance Arranger in the United Kingdom, whose specialty and business purpose is the construction and project management of plants for the Anaerobic digestion of bio-waste.



What are the objectives of the sustainable investments that the financial product partially intends to make and how does the sustainable investment contribute to such objectives?

The financial product does not have an environmental objective but has an environmental characteristic. It, however, notes the 100% allocation to project Finance loans with environmental characteristics in promoting United Kingdom renewable energy.



How do the sustainable investments that the financial product partially intends to make, not cause significant harm to any environmental or social sustainable investment objective?

The Finance Arranger specializes solely in the construction and project management of Anaerobic digestion of bio-waste plants. The Finance arranger, in its review and approval of financing criteria ensures, as a United Kingdom regulated legal entity subject to United Kingdom environmental planning that there is no harmful impact to Climate change adaptation, Transition to a circular economy, Pollution prevention and control, and the Protection and restoration of biodiversity and ecosystems.

Sustainable investment means an investment in an economic activity that contributes to an environmental or social objective, provided that the investment does not significantly harm any environmental or social objective and that the investee companies follow good governance practices.

The **EU Taxonomy** is a classification system laid down in Regulation (EU) 2020/852, establishing a list of **environmentally sustainable economic activities**. That Regulation does not lay down a list of socially sustainable economic activities. Sustainable investments with an environmental objective might be aligned with the Taxonomy or not.

Sustainability indicators measure how the environmental or social characteristics promoted by the financial product are attained.

Principal adverse impacts are the most significant negative impacts of investment decisions on sustainability factors relating to environmental, social and employee matters, respect for human rights, anti-corruption and anti-bribery matters.

How have the indicators for adverse impacts on sustainability factors been taken into account?

Through oversight, due diligence, and continuous monitoring by the Finance Arranger, and the Funds' Investment Management function, there is no adverse impact given the nature of the business. Accordingly, the do not do significant harm (DNSH) principle have been adhered to as per requirements in the EU Delegated Climate Act of 2021 Annex. There is one fixed United Kingdom based Finance Arranger, where lending facility agreements are in place with the sub-Fund contributing 100% to environmental characteristics.

How are the sustainable investments aligned with the OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights? Details:

We do not make any investments in any organization which would contravene OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights, or the principles and rights set out in the eight fundamental conventions identified in the Declaration of the International Labour Organisation on Fundamental Principles and Rights at Work and the International Bill of Human Rights. Respect for Human Rights is embedded in our core values. We are a signatory to the UN PRI (Principles for Responsible Investment) standards since May 2021, and in full adherence to local law in every jurisdiction in which we have a footprint. In any rare occasion where there is a divergence between local law and international human rights law, we will always apply the higher standard. We note there is limited scope for deviation from these given the singular nature of our investment strategy and its' employment via lending facilities with our one fixed Finance Arranger.

The EU Taxonomy sets out a "do not significant harm" principle by which Taxonomy-aligned investments should not significantly harm EU Taxonomy objectives and is accompanied by specific EU criteria.

The "do not significant harm" principle applies only to those investments underlying the financial product that take into account the EU criteria for environmentally sustainable economic activities. The investments underlying the remaining portion of this financial product do not take into account the EU criteria for environmentally sustainable economic activities.

Any other sustainable investments must also not significantly harm any environmental or social objectives.



Does this financial product consider principal adverse impacts on sustainability factors?



Yes, we undertake an assessment of the Principal Adverse Impacts ("PAIs") of our decisions on ESG Factors. PAIs are those impacts arising from a particular decision taken that will eventually have a negative effect on ESG Factors. Where the PAI cannot possibly be determined due to insufficient disclosure or lack of tangible data, we will actively engage with the target company in question and should no commitment be made by the latter to mitigate the PAI, this matter will be factored into the decision-making process. This is fully disclosed on Page 14 of the Issuing Document. Further information on Principal Adverse Indicators may be obtained from the AIFM to the Fund at Prestige Capital Management, Limited.



No



What investment strategy does this financial product follow?

The investment objective of the European Finance Opportunities S.C.A. (SICAV-SIF) ("EFO") is to target renewable energy projects which by nature provide a ready source of clean energy to the United Kingdom energy infrastructure benefitting amongst others farming and rural communities and the economy more generally. As to the sub-fund specifically - Prime Alternative Finance Fund - the AIFM integrates sustainability risks into investment decisions for the purpose of the assessment required under article 6(1) of the SFDR and considers that the financial impacts on the fund that might result from sustainability risks are mitigated by the very nature of the positive ESG impact resulting from the successful employment of the investment objective. Accordingly, the investment objective of the sub-fund - Prime Alternative Finance Fund - has been classified by the AIFM as "promoting environmental or social characteristics" and making "sustainable investments" within the meaning of articles 8(1) of the SFDR.

The investment strategy guides investment decisions based on factors such as investment objectives and risk tolerance.

Good governance practices include sound management structures, employee relations, remuneration of staff and tax compliance.

What are the binding elements of the investment strategy used to select the investments to attain each of the environmental or social characteristics promoted by this financial product?

As the Finance Arranger based in the United Kingdom drives the investment objective with Sustainability characteristics employed by the Fund as a sole strategy and business model in providing clean energy to the United Kingdom, this alone is the binding element. There is no divergence on an "investment-by-investment" basis.

What is the committed minimum rate to reduce the scope of the investments considered prior to the application of that investment strategy?

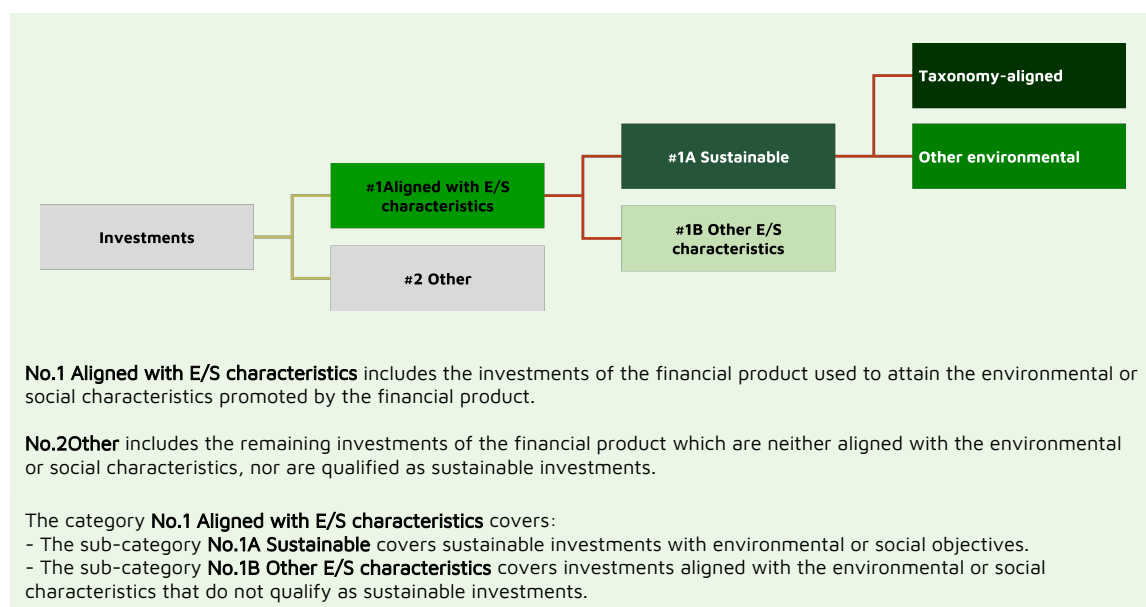
The committed minimum rate is 100% based on the sole strategy and business model in respect of the United Kingdom based Finance Arranger where funds allocation is deployed.

What is the policy to assess good governance practices of the investee companies?

As per the Sustainability policy of the AIFM, good governance practices are assessed for transparency & integrity; inadequate management of conflicts of interests; corporate governance failures; lack of appropriate board oversight; shareholder rights; bribery and corruption. Set against Sustainability Factors, as elaborated elsewhere in the policy, the AIFM mitigates against this Risk type through avoidance of dealing with any entities that are unable to evidence sound governance structures or in jurisdictions with a reputation for tax avoidance, countries which are subject to restrictions such as sanctions and embargoes. The entities in which the Company deals are primarily in the United Kingdom and EU and these risk types are assessed through KYC/ Due Diligence Undertaken. Further the Company maintains a robust Remuneration Policy.

What is the asset allocation planned for this financial product?

The asset allocation for this financial product is Category 1A Sustainable with a breakdown of 'Taxonomy aligned' and 'Other Environmental' portfolio components expressed in terms of Capital Expenditure (CapEx) percentages of Investment allocation. The investment allocation is defined as loan facilities provided to the underlying Finance Arranger in the United Kingdom specializing in the United Kingdom renewable energy sector. Taxonomy aligned CapEx stands at 62.80% of Loan balances to crop waste feedstock inputs and Other environmental CapEx at 37.20% of Loan balances.



How does the use of derivatives attain the environmental or social characteristics promoted by the financial product?

The financial product does not use derivatives for investment purposes.

To what minimum extent are sustainable investments with an environmental objective aligned with the EU Taxonomy?

Sustainable investments aligned with EU Taxonomy are 62.8% of the assets deployed by the Fund to the Finance Arranger promoting United Kingdom renewable energy. The remaining 37.2% of the assets deployed are considered other environmentally sustainable investments that are aligned with the SFDR. The compliance of the investments with the taxonomy will not be subject to an assurance by auditors or a review by third parties, however these standards in alignment with United Kingdom government environmental standards as applied by OFGEM: Office of Gas and Electricity Markets. OFGEM is the government regulator for the electricity and downstream natural gas markets in the United Kingdom. 'Taxonomy aligned' and 'Other Environmental' portfolio components are expressed in terms of Capital Expenditure (CapEx) percentages of Investment allocation via funding facilities. As the financial product employs a Private Debt lending strategy this was seen as the most suitable metric to measure these activities, e.g. in the form of capital outlay. Details are obtained directly from the United Kingdom based Finance Arranger specializing in United Kingdom renewable energy.

Does the financial product invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy¹?

☐ Yes:

☐ In fossil gas

☐ In nuclear energy

☒ No

Asset allocation describes the share of investments in specific assets.

Taxonomy-aligned activities are expressed as a share of:

- **turnover** reflecting the share of revenue from green activities of investee companies
- **capital expenditure** (CapEx) showing the green investments made by investee companies, e.g. for a transition to a green economy.
- **operational expenditure** (OpEx) reflecting green operational activities of investee companies.

To comply with the EU Taxonomy, the criteria for **fossil gas** include limitations on emissions and switching to renewable power or low-carbon fuels by the end of 2035. For **nuclear energy**, the criteria include comprehensive safety and waste management rules.

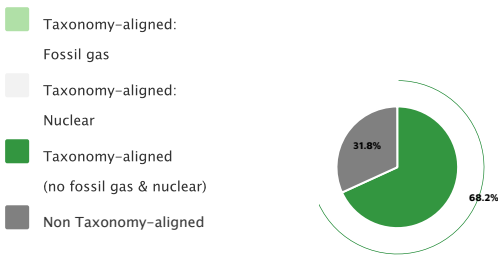
Enabling activities directly enable other activities to make a substantial contribution to an environmental objective. **Transitional activities** are activities for which low-carbon alternatives are not yet available and among others have greenhouse gas

emission levels corresponding to the best performance.

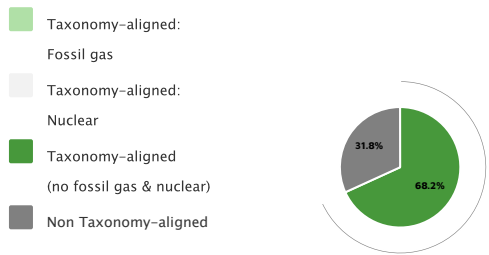
¹Fossil gas and/or nuclear related activities will only comply with the EU Taxonomy where they contribute to limiting climate change ("climate change mitigation") and do not significantly harm any EU Taxonomy objective - see explanatory note in the left hand margin. The full criteria for fossil gas and nuclear energy economic activities that comply with the EU Taxonomy are laid down in Commission Delegated Regulation (EU) 2022/1214.

The two graphs below show in green the minimum percentage of investments that are aligned with the EU Taxonomy. As there is no appropriate methodology to determine the Taxonomy-alignment of sovereign bonds*, the first graph shows the Taxonomy alignment in relation to all the investments of the financial product including sovereign bonds, while the second graph shows the Taxonomy alignment only in relation to the investments of the financial product other than sovereign bonds.

1. Taxonomy-alignment of investments including sovereign bonds*



2. Taxonomy-alignment of investments excluding sovereign bonds*



This graph represents 100% of the total investments.

* For the purpose of these graphs, 'sovereign bonds' consist of all sovereign exposures

What is the minimum share of investments in transitional and enabling activities?

N/A



What is the minimum share of sustainable investments with an environmental objective that are not aligned with the EU Taxonomy?

There is no minimum share of sustainable investments with an environmental objective that are not aligned with the EU Taxonomy. The financial product is only partially aligned with EU Taxonomy as the CapEx allocation for the 'Other Environmental' categorization is greater than 10% of the overall CapEx outlay.



What is the minimum share of socially sustainable investments?

None, the strategy focuses 100% on environmentally sustainable activities.



What investments are included under "No.2 Other", what is their purpose and are there any minimum environmental or social safeguards?

Not applicable, as no investments are categorized as #2 Other



Is a specific index designated as a reference benchmark to determine whether this financial product is aligned with the environmental and/or social characteristics that it promotes?

The financial product does not use any form of reference benchmarks.

How is the reference benchmark continuously aligned with each of the environmental or social characteristics promoted by the financial product?

Not applicable.

are sustainable investments with an environmental objective that do not take into account the criteria for environmentally sustainable economic activities under the EU Taxonomy.

Reference benchmarks are indexes to measure whether the financial product attains the environmental or social

characteristics that they promote.

● **How is the alignment of the investment strategy with the methodology of the index ensured on a continuous basis?**

Not applicable.

● **How does the designated index differ from a relevant broad market index?**

Not applicable.

● **Where can the methodology used for the calculation of the designated index be found?**

Not applicable.



Where can I find more product specific information online?

More product-specific information can be found on the website: <https://www.prestige-climateinvest.com/>.